

Procure Space ETF

SPCX NASDAQ

Buy	\$140.75 ▼ 1.04%	12M Price Target \$165.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.86T
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SPCX: Space ETF Cools After Rally, AI Spend Backdrop Still Bullish

WHAT HAPPENED

- SPCX slipped ~1% on notably lighter volume (30M vs 55–63M recent days) — that's not real selling pressure, that's just a breather after a run into month-end. When volume dries up on a down day, it usually means holders aren't panicking; buyers just stepped back.
- The overnight news is actually GOOD for the ETF's holdings — Oppenheimer flagged SpaceX AI revenues accelerating (SpaceX isn't in SPCX but it lifts the whole sector narrative), and AST SpaceMobile got a new Buy call (ASTS is a meaningful SPCX holding). So the fundamentals are getting louder while the price is quietly resting.

WHY IT MATTERS

Here's the read: the space sector is being repriced as an "AI infrastructure" play — satellites are becoming the backbone for AI-powered comms, Earth observation, and defense sensing. That's a much bigger addressable market than the old "space tourism" narrative, and it's why SPCX is up huge from its 52-week low (\$104) even after today's dip. The options market agrees — call buying is outpacing puts (0.61 put/call ratio, meaning bulls are more active), and there's an unusual call buy right at \$141 for September expiry, which tells me traders are betting on a bounce this month. What to watch: if ASTS and Rocket Lab keep getting upgrades, SPCX drags higher mechanically because ETFs are just baskets — the components going up IS the ETF going up.

POLICY & POLITICAL WATCH

The big policy tailwind is the FY2027 defense authorization moving through Congress right now, which includes expanded funding for Space Force procurement and commercial satellite contracts — this is direct revenue for SPCX holdings like Iridium, Rocket Lab, and Planet Labs. Also watch the FCC's ongoing spectrum allocation decisions for satellite broadband (affects ASTS and Globalstar directly) — a friendly ruling could unlock billions. Headwind to monitor: any export controls tightening on satellite tech to allied nations could hurt international revenue, and there's chatter about that in the current administration's trade review.

IS IT EXPENSIVE?

SPCX trades as a basket, so "valuation" really means "how expensive are the underlying space stocks" — and honestly, many of them (ASTS, RKLB) trade at 15–25x forward sales, meaning investors are paying \$15–25 for every \$1 of expected revenue. That's pricey, but justified IF the government contract pipeline converts and satellite broadband scales. At 30% of its 52-week range, SPCX isn't stretched — it's in the middle, which is a reasonable entry if you believe the multi-year story.

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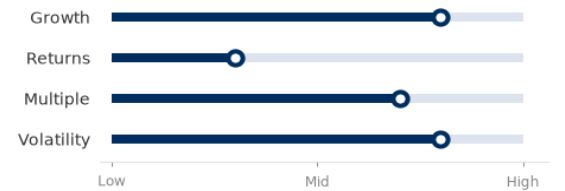
AI-Generated Pre-Market Brief | 2026-09-02 16:49 UTC

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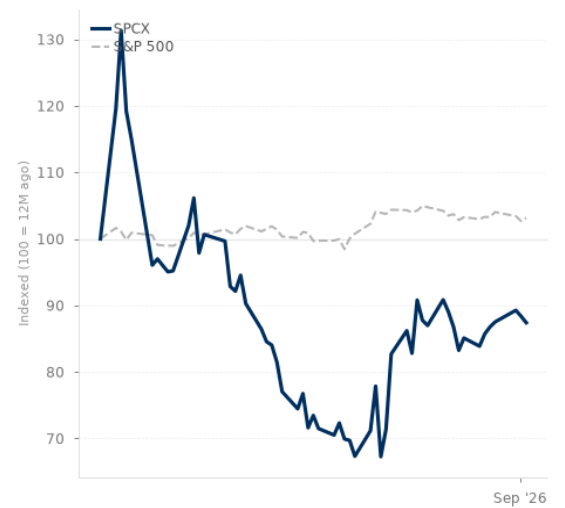
Key Data

Price (USD)	\$140.75
12M Price Target	\$165.00
Upside / (Downside)	+17.2%
Market Cap	\$1.86T
FY2026E Revenue	\$693M
FY2027E Revenue	\$940M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$152.00	\$144.00	\$132.00
6 Months	\$175.00	\$155.00	\$120.00
1 Year	\$210.00	\$165.00	\$110.00
2 Years	\$260.00	\$195.00	\$100.00
5 Years	\$380.00	\$260.00	\$90.00
10 Years	\$600.00	\$400.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+1.81%) and Comm Services (+1.77%) led today — Comm Services matters for SPCX because satellite broadband is technically a comms play, so that rotation is friendly. Energy up 4% on the week signals inflation/geopolitical trade back on.

COOLING OFF: Tech-adjacent growth is taking a breather after the AI capex headlines — even Tesla is getting "should it be in the Mag 7?" articles, which is peak narrative exhaustion.

ROTATION WATCH: Money is rotating from mega-cap AI winners into second-derivative AI plays — satellites, data centers, power infrastructure. That's a direct tailwind for SPCX because space IS the next AI infrastructure layer.

RELATED PLAY: If SPCX runs, the ground-station and satellite-component suppliers benefit too — think Viasat, L3Harris, and even niche names like Kratos. Data center REITs also win from the same "AI needs infrastructure" story.

WHO'S WINNING IN THIS SPACE?

- ASTS (AST SpaceMobile): New Buy call today — the satellite-to-phone story is finally getting Wall Street sponsorship, and they're a top-10 SPCX holding.
- RKLB (Rocket Lab): Benefits from every DoD launch contract announcement and is the go-to "small SpaceX" for public-market investors.

SPCX CONTEXT: SPCX is lagging its top holdings slightly today because it's a diversified basket — when one or two names rip, the ETF captures maybe half of it. That's normal. If ASTS and RKLB keep leading, SPCX catches up within a week or two mechanically.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the multi-year setup (space + AI + defense spending) but the sector is volatile and today's action shows it can slip on nothing.

POSITION SIZE: 3-5% of portfolio — enough to matter if it works, small enough that a 30% drawdown doesn't ruin your year.

ENTRY POINTS: I'd nibble at \$140 and add aggressively on any macro-fear pullback to \$130-135. Don't chase above \$150 short-term.

TIME HORIZON: 12–24 months — the catalysts (defense bill, satellite broadband commercialization, more government contracts) play out over quarters, not weeks.

WHEN TO BAIL: If the defense authorization gets stripped of space funding, or if two of the top-5 holdings (ASTS, RKLB, IRDM) break down 20%+ on fundamentals, I'm reducing.

HEDGING: Simplest hedge — own less. If you want to get fancier, buy a put option on QQQ (tech ETF) as insurance against a broad growth-stock selloff, since SPCX moves with high-beta tech.